

Ready money

The internet has been crying out for its own currency since the 1990s and Bitcoin offers a solution that could be quick, cheap and verifiable.

China's announcement in December that it was banning local financial institutions from using bitcoins caused a collapse in the price of the digital currency and led a chorus of talking heads to predict its demise.

Things don't seem to have improved much since then. Japan's Mt Gox, the biggest bitcoin exchange, went bust in February after the unexplained loss of 850,000 bitcoins (valued at the time at more than \$450 million) to hackers. Then in late March the US said that it would tax Bitcoins as property.

But these pale compared to the China ban. After Beijing's statement, speculators watched the value of their digital portfolios fall in half during the last few weeks of 2013 and, despite a brief rally in January, the bitcoin slump has continued (prices diverge across multiple different exchanges, but the peak value was roughly \$1,100 compared to less than \$500 today).

The joint statement from China's banking, securities and insurance regulators was unequivocal: "Although [bitcoin] is called currency, it is not issued by a monetary authority, it does not have the status of legal tender and obliged payment status of currency, it is not currency in the true sense. Bitcoin is a specified virtual commodity, it does not have equal legal status with currency, and it cannot and should not be circulated as currency on the market."

It went on to say, in effect, that financial institutions must not offer any products or services related to bitcoin, casting doubt on the future of virtual currencies in its biggest market.

So did China kill bitcoin? Not according to Dave Chapman, co-founder and chief operating officer of ANX, a Hong Kong-based exchange that offers trading in bitcoin and other digital currencies — and which unveiled the city's first bitcoin ATM in February.

"Whilst the media adequately relayed this message [that PBoC had barred financial institutions from transacting in bitcoins], the majority of the articles published failed to mention that in the same ruling it was confirmed that private individuals are allowed to trade bitcoin at their own risk," he said during an interview at the exchange. "That's a win for us."

Indeed, the statement was like a warm embrace to bitcoin professionals in Asia. Far from "banning" bitcoin, the regulators acknowledged it for the first time and started to lay the foundations for better regulation. They even said that financial and payment organisations should inform the public about virtual goods and currencies. This is by no means a ban.

Other stories about countries banning bitcoin betray a similar reality: regulators across the region are accepting that bitcoin is significant enough to warrant their attention — even if they do not always seem to have much to say.

End of the beginning

This regulatory acknowledgement could be the first of many big steps that bitcoin takes in 2014. As the product matures, a new breed of more professional operations is slowly edging out cowboy operators.

In response to Mt Gox's "tragic violation of trust", for example, a group of top bitcoin professionals put out a joint statement condemning its shoddy approach and providing a united and credible voice for the industry.

"Strong bitcoin companies, led by highly competent teams and backed by credible investors, will continue to thrive and to fulfil the promise that bitcoin offers as the future of payment in the internet age," said the statement, signed by the co-founder of Coinbase and the chief executives of Kraken, Bitstamp.net, BTC China, Blockchain.info and Circle.

If anything, players such as Mt Gox were becoming a pain for those who wanted bitcoin to break through to mainstream acceptance. Although it grew to become the world's most popular bitcoin exchange, the code behind Mt Gox had been written in just a few days and the exchange operated without any of the typical checks involved in the regulated financial industry.

"Mt Gox was one of the reasons we started," said Chapman. "We thought we could do a better job."

Firms like ANX are now leading the new generation of bitcoin exchanges — its three founders are all serious professionals. Chapman joined in November from HSBC, where he had been responsible for the derivatives development team in Hong Kong after a career that included stints at Bear Stearns, Credit Suisse, Barclays and ABN Amro.

Hugh Madden was a fellow HSBC banker, while the chief executive

Ken Lo worked in the telecoms industry.

Registered members must go through proper identity checks and the exchange takes anti-money laundering and know-your-customer provisions seriously. Joining the exchange is still an entirely online process, though customers have been known to show up at the Wan Chai office with wads of cash.

ANX's customer funds are all held in "cold storage", which means they are offline and secure from hackers.

This process of weeding out the weak links is an important one, according to Dmitry Dain, chief technology officer and founder at Betalabs, who was interviewed as part of a Goldman Sachs research report.

"As legitimacy of bitcoin grows, the assumption is that more investment will flow into the operation of the exchanges and that they will become more stable," he said. "But it is still a Wild West out there for the exchanges."

Attitudes can change quickly. Just six months ago most people reckoned that the closure of Silk Road, an online black market, would lead to a dramatic drop in bitcoin usage as criminals reverted to dark alleys and bank-issued currency. The opposite was true: bitcoin VALUES IN DOLLAR TERMS shot up by more than 400% immediately after the FBI closed the website in October.

The more professional exchanges also noticed a flight to quality after Mt Gox went down. "We had our busiest week ever," said Chapman.

US retailers such as Zynga, Overstock and TigerDirect have all recently started to accept bitcoins and more are joining them.

CoinMap, a website that claims to map retail outlets around the world that accept bitcoin and litecoin payments, lists more than 150 stores in Asia — and close to 4,000 worldwide. "That would mean

bitcoin prices going through the roof," he predicted.

The next step, which Chapman is confident will happen this year, is for a major online player such as Amazon or Google to start accepting them.

"This would naturally result in much wider appreciation of bitcoin as a payment technology — and it would most certainly increase the demand for bitcoin," he predicted.

Early adopters can already use bitcoin to pay for things on Amazon (as well as Walmart, Macy's and Target) by installing a simple Google Chrome web plugin that uses the retailer's API, an interface that allows app developers to offer third-party services. It also searches the internet for cheaper deals and seamlessly finds discounts. Such tools come with a cost because they involve buying through a third-party reseller, which can void warranties on some products. Going direct through Amazon, rather than a less trusted app developer, would still offer a better experience for most customers.

Whether that will ever happen is the big question. Google appeared to say in February that it was exploring options to integrate Bitcoin after an email from the commerce team was circulated in public. The company later dialled back the statement, but netizens are now convinced that Google is working on it. That seems a reasonable assumption.

Google's biggest revenue source is from online advertising. Using Bitcoin in this environment would mean AdSense payments could go through instantly instead of being sent by secure cheque (often internationally). A Gmail integration could allow anyone to send money securely by email, while a Bitcoin-enabled Google Wallet could revolutionise mobile payments.

No other large internet company has made a definitive statement about Bitcoin, but it is safe to

assume that such innovative businesses are seriously considering the benefits of being a first-mover in this market.

There are challenges, of course. Google already spends a huge amount of time and effort keeping spammers and scammers out of its advertising business, but an anonymous payment system would hardly make that any easier. It would also presumably need to buy an exchange to be able to offer such a service.

Payday

None of the above helps to answer a simple bitcoin question that many people have: What's the point?

You can't pay your taxes with bitcoin, but its real selling point is not as a currency. In essence, it is a payment technology that allows for the cost-free exchange of assets between two anonymous parties without reliance on any central organisation, and which can be verified by anyone and cannot be reversed.

That probably doesn't sound very impressive to millennials out to change the world, but the truth is that existing payment technologies are much more expensive, much slower and much less secure. And bitcoin could be used to transfer any documents or assets, from securities to letters of credit.

Such a system would have broad applicability. It would offer small retailers huge advantages over credit cards, which cost them 2% to 4% of the sale and are commonly used fraudulently, resulting in chargebacks that leave the retailer out of pocket.

Overseas workers from the Philippines and other Asian countries who rely on money services such as Western Union would also benefit from cheaper fees. And their unbanked friends and relatives at home would only need a smartphone to create a mobile bank account.

For now, the conventional banking industry is sceptical. "If somebody can do all this risk-free, that would obviously be a positive for customers," said Sridhar Kanthadai, head of transaction banking for North Asia at Standard Chartered. "The banking environment has regulatory challenges that are growing really fast, so it's not easy to do at zero cost. Many of these ideas are very interesting, but regulators are getting nervous about it."

But most of the banks that FinanceAsia contacted for this story, including several of the world's top commercial banks, claimed not to be in a position to

comment. Indeed, one of the world's biggest and most sophisticated foreign exchange brokers told us: "It's not a topic for us to discuss. I have double-checked our research database to see if there might be something helpful there to share with you but I'm afraid not at this stage."

Even Goldman, which is the only bank we know to have published research on the subject, had to rely on external specialists for much of the content in its report.

That is not to say the banks have a duty to take virtual currencies seriously. It may of course turn out that Bitcoin is not a workable payments solution for wholesale

banking clients. Doubtless the banks would prefer to "innovate" their own solutions that leverage the advantages of Bitcoin — transfers that are quick, cheap, verifiable and irreversible — at the same time as allowing some kind of fee structure.

Having said that, the zero-cost structure offers an important advantage that could be used for a variety of purposes. Charging a millionth of a bitcoin to receive emails, for example, could force spammers out of business. Such micropayments could also change the way that businesses monetise web traffic.